Session 1: Global Financial Reporting Regulation and Accounting Principles

By the end of this session you must know why financial reporting is regulated, how the IFRS Foundation/IASB institutional architecture and standard-setting due process work, the principles-based vs rules-based debate, and the main empirical findings on the economic consequences of IFRS adoption.

Plan

1. The Agency Problem and the Demand for Financial Reporting Regulation
2. GAAP and the Rationale for Global Accounting Standards
3. Institutional Architecture: the IFRS Foundation, the IASB and Related Bodies
4. The Standard-Setting Process and the Structure of an International Standard
5. Worldwide Adoption of IFRS and the EU Endorsement Mechanism
6. Principles-Based vs Rules-Based Standards, and First-Time Adoption (IFRS1)
7. Academic Research on the Consequences of IFRS Adoption
8. Common Mistakes and Exam Traps
9. Must Know Absolutely

1. The Agency Problem and the Demand for Financial Reporting Regulation

- Companies are owned by shareholders but managed by directors.
- Once ownership is separated from control, the manager (agent) may hold interests that diverge from those of the owner (principal). Most shareholders of larger companies have no day-to-day involvement in the business.

Agency problem: the conflict of interest between a principal (the owner, who delegates decision-making authority) and an agent (the manager), arising because the interests of the two may diverge once ownership is separated from control.

- This separation creates an information gap: managers hold better information about the firm than shareholders and other outside users.

Information asymmetry: the condition in which managers possess superior information about the firm relative to shareholders and other external users, because they run the business day to day.

- Shareholders rely on financial statements (e.g. the balance sheet and income statement) to make important decisions. Creditors and other user groups rely heavily on financial statements too.
- The objective of published financial statements is therefore the provision of useful information to external stakeholders.
- Financial reporting aims to bridge the information-asymmetry gap between managers and external users.

Regulation exists to ensure that financial statements provide a faithful representation. It is motivated by two distinct concerns:

- **Market imperfections**: objective: improve economic efficiency.
- **Welfare of unsophisticated investors**: objective: redistribute wealth.

Regulation comes from three sources:

- **Legislation**: broad rules that vary by country (e.g. the Companies Act 2006 in the UK).
- **Accounting standards**: detailed rules, both national and international.
- **Stock exchange regulations**: e.g. a requirement to publish quarterly figures.

2. GAAP and the Rationale for Global Accounting Standards

GAAP (Generally Accepted Accounting Practice): the complete set of accounting regulations, drawn from all sources, together with the accounting conventions that apply in a given jurisdiction (e.g. UK GAAP, Italian GAAP, US GAAP). The IASB is developing a set of accounting standards intended to operate internationally alongside, or in place of, local GAAPs.

- Local standards reduce variation in accounting practice and introduce a degree of uniformity, which enhances comparability, allowing meaningful comparisons to be drawn over time and between entities.
- Standards also make it more likely that financial statements provide a faithful representation of an entity’s financial performance and position, enhancing accounting quality.
- The IASB Conceptual Framework stresses the importance of both faithful representation and comparability.

The case for replacing domestic standards with IFRS rests on several expected benefits:

- Enable investors to make better cross-country investment comparisons.
- Remove barriers to cross-border acquisitions and divestitures.
- Increase the credibility of domestic capital markets among foreign capital providers.
- Increase the efficiency with which the stock market incorporates financial information into prices, by lowering the cost of processing information.
- Eliminate cross-country financial statement adjustments.
- Provide more accurate, neutral (less biased) and timelier information, generating a more faithful representation of the underlying economics of transactions.

The overarching goals are to increase financial statement comparability and quality, and to improve the functioning of global capital markets.

3. Institutional Architecture: the IFRS Foundation, the IASB and Related Bodies

3.1 Governance Structure

IFRS Foundation: the oversight body that appoints and funds the IASB and governs its operations. It is monitored by the Monitoring Board.

IASB (International Accounting Standards Board): an independent board of 14 members, chaired (at the time of the lecture) by Andreas Barckow, that develops and amends International Financial Reporting Standards (IFRS), which are high quality, enforceable and global.

IFRS Advisory Council: the body that advises the IASB on its agenda and priorities.

IFRS Interpretations Committee (IFRIC): the committee that interprets International Financial Reporting Standards and provides practical guidance on matters not covered by the standards.

- The stated overall goal of this structure is to provide the capital markets with a common language for financial reporting.

3.2 IASB Objectives

The IASB has three formal objectives, as set out in the IASC Foundation Constitution Review roundtable discussion paper (2009):

- To develop a single set of high quality, understandable and enforceable global accounting standards that require high quality, transparent and comparable information in financial statements and other financial reporting, to help participants in the world’s capital markets and other users make economic decisions.
- To promote the use and rigorous application of those standards.
- To work actively with national standard-setters to promote the convergence of national accounting standards with IFRS.

4. The Standard-Setting Process and the Structure of an International Standard

4.1 IASB Due Process

1. Identification of the topic area.
2. Application of the Conceptual Framework.
3. Consultation with national standard-setters, the IFRS Foundation and the IFRS Advisory Council.
4. Publication of a discussion document and consideration of comments from third parties.
5. Publication of an exposure draft and consideration of comments received.
6. Publication of the final standard.

4.2 Structure of an International Standard

Every IFRS Accounting Standard follows the same architecture:

- Introduction.
- Objectives and scope.
- Definitions.

- The body of the standard.
- Effective date and transitional provisions.
- Formal approval by the IASB, together with any dissenting opinions.
- The basis for conclusions.
- Application/implementation guidance and/or illustrative examples.

5. Worldwide Adoption of IFRS and the EU Endorsement Mechanism

5.1 Global Adoption Status

- IFRS is required for listed companies in over 100 countries, including all EU countries from 2005 onwards, and permitted for listed companies in a further 14 countries.
- The US was at one point expected to adopt IFRS, but this is no longer the case.

Example: IFRS for SMEs, issued in 2009, is a scaled-down version of full IFRS designed for use by small and medium-sized entities such as unlisted companies.

Adoption timing varies by jurisdiction:

- **EU**: listed companies on a regulated market (about 8,000 companies) have applied IFRS in their consolidated financial statements since 2005. Under the EU Accounting Regulation, each IFRS must be individually endorsed. EU member states may extend the IFRS requirement to non-listed companies and to separate-company statements. Nearly all EU states permit non-listed companies to use IFRS in consolidated statements (a majority also in separate statements).
- **Canada**: publicly accountable entities apply IFRS from periods beginning on or after 1 January 2011.
- **Latin America**: Chile began phasing in IFRS for listed companies from 2009, Brazil from 2010, Argentina from 2011, and Mexico from 2012.
- **Russia**: phased in IFRS for listed companies from 2012.
- **Convergence projects**: China has pursued convergence with IFRS since 2006, Japan since 2007, and India since 2015.
- **Word-for-word adopters**: national standards are virtually word-for-word IFRS in Australia, Hong Kong, Korea and New Zealand.
- **US**: the SEC has, since November 2007, allowed foreign private issuers to file financial statements prepared under IFRS as issued by the IASB without reconciling the figures to US GAAP.

5.2 The EU Endorsement Framework

- Within the EU, the European Commission oversees the overall framework while the IASB creates IFRS.
- The Accounting Regulatory Committee (ARC) endorses individual standards for use in the EU, advised on technical evaluation by EFRAG and SARG.
- Once endorsed, standards are enforced by National Enforcement Bodies (e.g. Consob in Italy, the FRRP in the UK), with enforcement coordinated across the EU by ESMA (whose enforcers' coordination sub-body is EECS).
- This means an IFRS issued by the IASB is not automatically mandatory in the EU: it only becomes so once individually endorsed.

6. Principles-Based vs Rules-Based Standards, and First-Time Adoption (IFRS1)

Principle: a general statement intended to support the true and fair presentation of the economic consequences of business transactions, acting as a guide to action.

Rule: a means of establishing an unambiguous decision-making method. A set of rules may be proposed to guide observance of a principle, but whether following those rules actually achieves conformity to the principle remains a matter of judgement.

Aspect	Rules-based standards	Principles-based standards
Guidance	Detailed guidance, clarification and precise answers	General framework requiring judgement
Judgement	Reduces or eliminates professional judgement	Requires professional judgement
Comparability	Higher, if similar economic reality is understood similarly by users	Depends on consistency of judgement applied

Authority	Authoritative and enforceable	Focused on economic substance over form
Creative accounting	Does not prevent dishonest practice. Encourages loophole-seeking	Deters creative accounting by keeping focus on economic reality
Complexity	Causes complexity and delay in keeping abreast of change	Complexity is only a consequence of the complexity of the underlying business
Cross-border use	Sets out greater detail, which is harder to translate	Provides a framework that generalises more easily across jurisdictions

- The lecture is explicit that principles vs rules is a **false distinction**: the difference between the two is not always clear-cut.
- A combination of both approaches, balancing principles with supporting rules, is generally necessary and appropriate.
- US GAAP is often described as more rules-based compared with the more principles-based IFRS, but this framing should not be overstated.

IFRS1 (First-time Adoption of IFRS Accounting Standards): the standard governing an entity's first IFRS financial statements, referenced by the period for which comparatives are provided in those first IFRS financial statements. Certain reconciliations between local GAAP and IFRS are required for the transition period.

7. Academic Research on the Consequences of IFRS Adoption

Academic research assessing the "IFRS experiment" addresses three broad questions:

- Whether audit quality and national enforcement are applied uniformly (compliance and enforcement).
- Whether accounting number attributes change with IFRS adoption, and whether institutional context affects the quality of IFRS statements (IFRS-related accounting quality changes).
- What the economic and social consequences of adoption are, including the role of other legal institutional variables in market outcomes.

The main documented findings are:

- Value relevance, accounting quality and comparability improve following the switch to IFRS, primarily in high-enforcement countries (Barth et al. 2012).
- Market liquidity and valuations increase for mandatory IFRS adopters, though the evidence on the cost of capital is mixed (Daske et al. 2008).
- Institutional ownership increases significantly after IFRS adoption, but the effect is restricted to countries with strong enforcement (Florou and Pope 2012).
- US mutual fund ownership increases for mandatory IFRS adopters, but only when the adoption is seen as credible (DeFond et al. 2011).
- The likelihood of issuing public debt increases and the cost of public debt falls after IFRS adoption. The same is not true for bank loans (Florou and Kosi 2015).
- Credit relevance increases following IFRS, as accounting fundamentals explain credit ratings better post-adoption (Florou et al. 2017).
- Analysts' forecast accuracy improves, especially where the difference between local GAAP and IFRS is high (Byard et al. 2011, Horton et al. 2012).
- Compliance costs (i.e. audit fees) increase for mandatory IFRS adopters. The IFRS-related audit fee premium is higher where audit complexity brought about by adoption is greater, and lower in countries with stronger legal regimes (Kim et al. 2012).
- Reporting incentives and institutions play an important role in shaping accounting properties and outcomes (Wysocki 2011). Accounting distance between countries is also an important determinant of outcomes (Ding et al. 2005, 2007, Bae et al. 2008).

8. Common Mistakes and Exam Traps

- Confusing the IFRS Foundation (oversight, appointment, funding) with the IASB (the standard-setting board itself). The Foundation appoints the IASB, not the other way round.
- Treating "principles vs rules" as a real, clean dichotomy. The lecture explicitly frames it as a false distinction.
- Mixing up the IFRS Interpretations Committee (IFRIC, which interprets existing standards) with the IFRS Advisory Council (which sets agenda priorities).
- Assuming IFRS is mandatory worldwide. It is required in 100+ countries, merely permitted in 14 more, and not mandatory in

the US.

- Confusing the two distinct motives for regulation: correcting market imperfections (efficiency objective) versus protecting unsophisticated investors (wealth-redistribution objective).
- Believing rules-based standards eliminate creative accounting. The lecture notes they can instead foster it, by diverting judgement from economic reality toward the technical detail of application.
- Forgetting that an EU-endorsed IFRS is not automatic: each standard must be individually endorsed via the ARC before it applies in the EU.

9. Must Know Absolutely

Must know:
• Agency problem: divergence of interest between principal (owner) and agent (manager) once ownership is separated from control
• Regulation reduces information asymmetry. Two motives: market efficiency vs protection of unsophisticated investors (wealth redistribution)
• GAAP = the full local rule set of a jurisdiction. IFRS = the IASB's global standards
• IFRS Foundation appoints and funds the IASB. The IASB (14 members) writes and amends IFRS
• IFRS Advisory Council sets agenda priorities. IFRIC interprets standards and fills gaps
• IASB objectives: single set of high-quality global standards. Promote rigorous application. Converge national standards with IFRS
• Due process: topic → Conceptual Framework → consultation → discussion document → exposure draft → final standard
• EU: each IFRS individually endorsed (ARC, advised by EFRAG/SARG). Enforced nationally (e.g. Consob, FRRP), coordinated by ESMA
• IFRS required in 100+ countries, permitted in 14 more, not mandatory in the US (but SEC allows IFRS filings by foreign private issuers without reconciliation since Nov 2007)
• Principles vs rules is officially a "false distinction". IFRS1 governs first-time adoption and requires local-GAAP-to-IFRS reconciliation for the transition period